

Using Capitalization Rate to Derive Value

Capitalization is the process of using a property's income to calculate its value. Investors looking to determine approximate value of their income producing properties do so by calculating:

$$\text{Net operating income} \div \text{capitalization rate} = \text{approximate value}$$

A lower cap rate translates into lower risk and higher property value. It's an indicator, not an appraisal. It can work in reverse, as well, for investors looking to buy property:

$$\text{Value (purchase price)} \times \text{cap rate} = \text{net operating income}$$

Capitalization rate (or cap rate, for short) is determined by the market. It's the return on investment that other investors in a given marketplace are receiving for a similar property. So, if the going cap rate is 7% (which is 0.07), then the capitalization formula is: multiply 0.07 by the value (purchase price of the property) to get net operating income.

$$\text{Value (purchase price)} \times \text{cap rate} = \text{net operating income}$$

$$\$200,000 \times 0.07 = \$14,000 \text{ net operating income}$$

If, instead of the cap rate, you know the annual income and value, you can determine the cap rate by dividing the income by the value:

$$\text{Net operating income} \div \text{value} = \text{cap rate}$$

$$\$14,000 \div \$200,000 = 0.07, \text{ or } 7\%.$$

The factors in the formulas are generally referred to as I (for income), R for rate or cap rate, and V for value.

To Determine ...

Simply ...

Income

Multiply cap rate by value

$$R \times V = I$$

Value

Divide income by rate

$$I \div R = V$$

Rate (cap rate)

Divide income by value

$$I \div V = R$$

Remember to multiply the resulting decimal by 100 to get a percentage

Note: The principal of **anticipation** is foundational to the income capitalization approach. This is because the property's value is created by the **expectation** in the investor's mind of the future benefits to be derived from ownership of the property. Income capitalization tries to determine value based on the current worth of all rights to the future benefits.